

Bridging the Gulf via trade, strategically

While Trump's Gulf state deals **hogged headlines** last week, India's **accelerated trade deals** in the Persian Gulf **are yielding** quieter positive strategic **externalities**. The **process** of signing **bilateral** trade agreements with Gulf Cooperation Council (GCC) members - a deal is already **in place** with the UAE, and another with Oman is almost ready - **has** picked up **pace** in the past **decade**. A separate deal is being **negotiated** with GCC. Energy requirements make GCC a prime candidate for expanding trade to balance India's **chronic deficit** with the **bloc**. India has increased import of Russian crude **following** the Ukraine war. Yet, its **dependence** on GCC energy exports **remains considerable**. Russian supplies face the **prospect** of **tightening sanctions** on shipping, **reinforcing** the **relevance** of the Gulf in India's energy security.

Expanding trade opens up investment opportunities in India for GCC, particularly in **downstream energy projects**. **So far**, Russia has made the biggest investment in the country's downstream energy sector. Space remains open to investors from GCC. Some members, **notably** Saudi Arabia, have made investments in Indian petroleum refining capacity. However, the potential is still largely **untapped**. Petroleum products **constitute** a leading item in India's export basket, and should continue to draw interest from foreign investors. This apart, GCC has **considerable exposure** to Indian equities, and tax **treaties** could shape future engagement.



GCC countries contribute the second-biggest **chunk** of **remittances** to India, having been **displaced** in recent years by advanced **economies** like the US. The changing **pattern** of workforce migration from India **is** a supply response to **demographic** changes in mature economies that offer **robust** social security. New Delhi has **legitimate** concerns over welfare available to **expatriate** Indian workers in Gulf countries. **Negotiations** over trade and investment treaties **will** retain this as a focus area from the Indian side. GCC will need to tackle the issue as the economies of its members **diversify** from energy exports.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

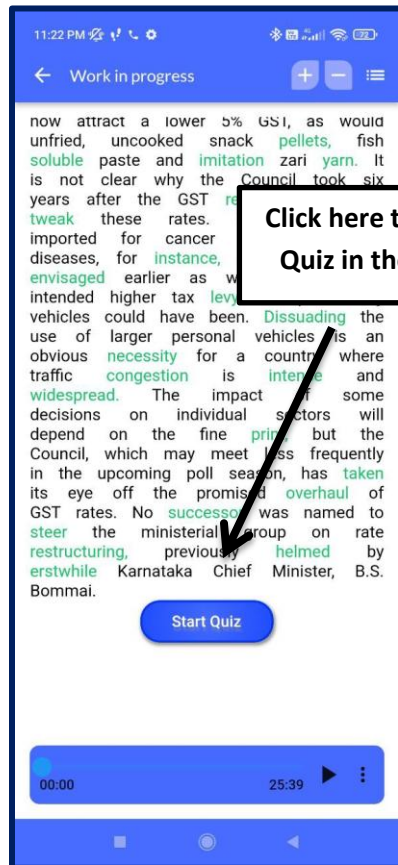
1. **Bridge the gulf** (phrase) – close the gap, reconcile, connect, overcome differences, build relations दूरी को कम करना
2. **Hog headlines** (phrase) – dominate the news, grab attention, attract coverage, make headlines, steal the spotlight सुर्खियाँ बटोरना
3. **Accelerate** (verb) – speed up, hasten, quicken, boost, expedite तेज़ी लाना
4. **Yield** (verb) – produce, give, result in, generate, provide उत्पन्न करना
5. **Externality** (noun) – side-effect, consequence, outcome, impact, spillover बाहरी प्रभाव / परिणाम
6. **Bilateral** (adjective) – mutual, reciprocal, two-sided, joint, shared द्विपक्षीय
7. **In place** (phrase) – established, functional, operational, implemented, active लागू / अस्तित्व में
8. **Pace** (noun) – speed, rate, tempo, momentum, velocity गति
9. **Decade** (noun) – Period of ten years दशक
10. **Negotiate** (verb) – discuss, bargain, mediate, settle, talk बातचीत करना
11. **Chronic** (adjective) – persistent, long-term, continuing, constant, habitual स्थायी / पुराना
12. **Deficit** (noun) – shortfall, gap, shortage, loss, deficiency कमी
13. **Bloc** (noun) – alliance, coalition, group, union, federation गुट / संगठन
14. **Following** (preposition) – after, in the wake of, subsequent to, next to, as a result of के बाद
15. **Considerable** (adjective) – significant, substantial, notable, sizable, ample काफी / महत्वपूर्ण
16. **Prospect** (noun) – possibility, likelihood, chance, probability, potential संभावना
17. **Tighten** (verb) – restrict, strengthen, reinforce, clamp down, increase control सख्त करना
18. **Sanction** (noun) – restriction, penalty, embargo, ban, prohibition प्रतिबंध
19. **Reinforce** (verb) – strengthen, support, fortify, boost, solidify मजबूत करना
20. **Relevance** (noun) – importance, significance, pertinence, applicability, value प्रासंगिकता

21. **Downstream energy project** (noun) – It refers to oil and gas functions that occur after the production phase to the point of sale.
22. **So far** (phrase) – until now, as yet, up to this point, thus far, till now अब तक
23. **Notably** (adverb) – especially, particularly, significantly, prominently, importantly खासतौर पर
24. **Untapped** (adjective) – unused, unexploited, unexplored, unutilized, dormant अप्रयुक्त
25. **Constitute** (verb) – form, make up, compose, comprise, establish बनाना
26. **Considerable** (adjective) – significant, extensive, appreciable, major, noteworthy महत्वपूर्ण
27. **Exposure** (noun) – involvement, engagement, experience, contact, visibility संपर्क
28. **Treaty** (noun) – agreement, pact, accord, contract, convention संधि
29. **Chunk** (noun) – portion, part, piece, segment, share हिस्सा
30. **Remittance** (noun) – money transfer, payment, funds, repatriation, compensation विदेश से भेजी गई रकम
31. **Displace** (verb) – replace, remove, oust, supplant, take over हटाना / विस्थापित करना
32. **Economies** (noun) – Countries in terms of GDP अर्थव्यवस्थाएँ
33. **Demographic** (adjective) – population-related, statistical, societal, generational, human-resource related जनसांख्यिकीय
34. **Robust** (adjective) – strong, sturdy, solid, resilient, healthy मज़बूत / सुदृढ़
35. **Legitimate** (adjective) – valid, justified, lawful, rightful, reasonable वैध / उचित
36. **Expatriate** (verb) – send abroad, migrate, relocate overseas, settle elsewhere, live abroad प्रवासी बनाना
37. **Negotiation** (noun) – discussion, dialogue, talks, deliberation, bargaining बातचीत / वार्ता
38. **Diversify** (verb) – expand, vary, branch out, broaden, spread विविधता लाना / विस्तार करना

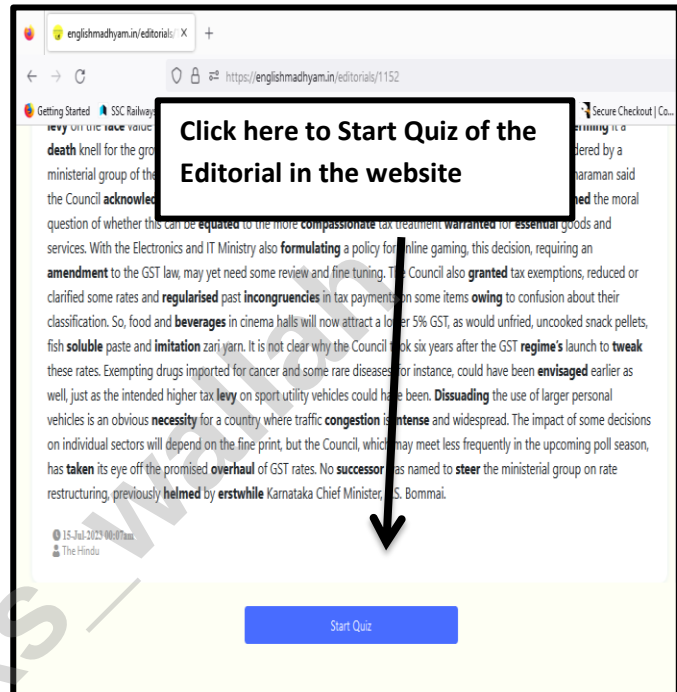
Summary of the Editorial

1. While Trump's Gulf diplomacy made headlines, India's trade diplomacy with Gulf nations is showing quiet strategic gains.
2. India has signed a bilateral trade agreement with the UAE and is close to finalizing one with Oman.
3. A broader Free Trade Agreement (FTA) with the GCC bloc is under negotiation.
4. The Gulf region is vital for India due to its energy security needs, especially in the wake of global uncertainties.
5. India has increased Russian crude imports post-Ukraine war, but GCC remains a key energy supplier due to potential Western sanctions on Russian oil.
6. Trade expansion with GCC creates new avenues for foreign investment in India, especially in the downstream energy sector.
7. Although Russia leads in downstream energy investment, there is room for more GCC involvement.
8. Countries like Saudi Arabia have begun investing in India's petroleum refining, but the full potential remains underexploited.
9. Petroleum products are among India's top exports, offering strong appeal to GCC investors.
10. GCC also has significant exposure to Indian equities, making investment ties broader than just energy.
11. Tax treaties between India and GCC nations could influence future financial and economic engagement.
12. GCC countries are the second-largest source of remittances to India, though the U.S. has recently taken the top spot.
13. Indian workforce migration patterns are shifting toward advanced economies with better social security.
14. India remains concerned about expatriate worker welfare in the Gulf, and this will be a focus in trade and investment talks.
15. As GCC economies diversify beyond energy exports, they will need to engage more seriously with India on labour rights and long-term trade strategy.

Practice Exercise: Banking Pattern Based



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